

Week 7

Communicating Customer Value: Integrated Marketing Communications Strategy

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Topic Outline

Promotion, Advertising appeals, the AIDA model, and Digital marketing

- The Promotion Mix
- Integrated Marketing Communications
- A View of the Communications Process
- Steps in Developing Effective Marketing Communication

The Promotion Mix

- The promotion mix is the specific blend of advertising, public relations, personal selling, and direct-marketing tools that the company uses to persuasively communicate customer value and build customer relationships

The Promotion Mix

The Promotion Mix

Advertising is any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor

- Broadcast
- Print
- Internet
- Outdoor

The Promotion Mix

The Promotion Mix

Personal selling is the personal presentation by the firm's sales force for the purpose of making sales and building customer relationships

- Sales presentations
- Trade shows
- Incentive programs

The Promotion Mix

The Promotion Mix

Public relations involves building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events

- Press releases
- Sponsorships
- Special events
- Web pages

The Promotion Mix

The Promotion Mix

Direct marketing involves making direct connections with carefully targeted individual consumers to both obtain an immediate response and cultivate lasting customer relationships—through the use of direct mail, telephone, direct-response television, e-mail, and the Internet to communicate directly with specific consumers

- Catalog
- Telemarketing
- Kiosks

Integrated Marketing Communications

The New Marketing Communications Model

- Consumers are better informed
- More communication
- Less mass marketing
- Changing communications technology



Integrated Marketing Communications

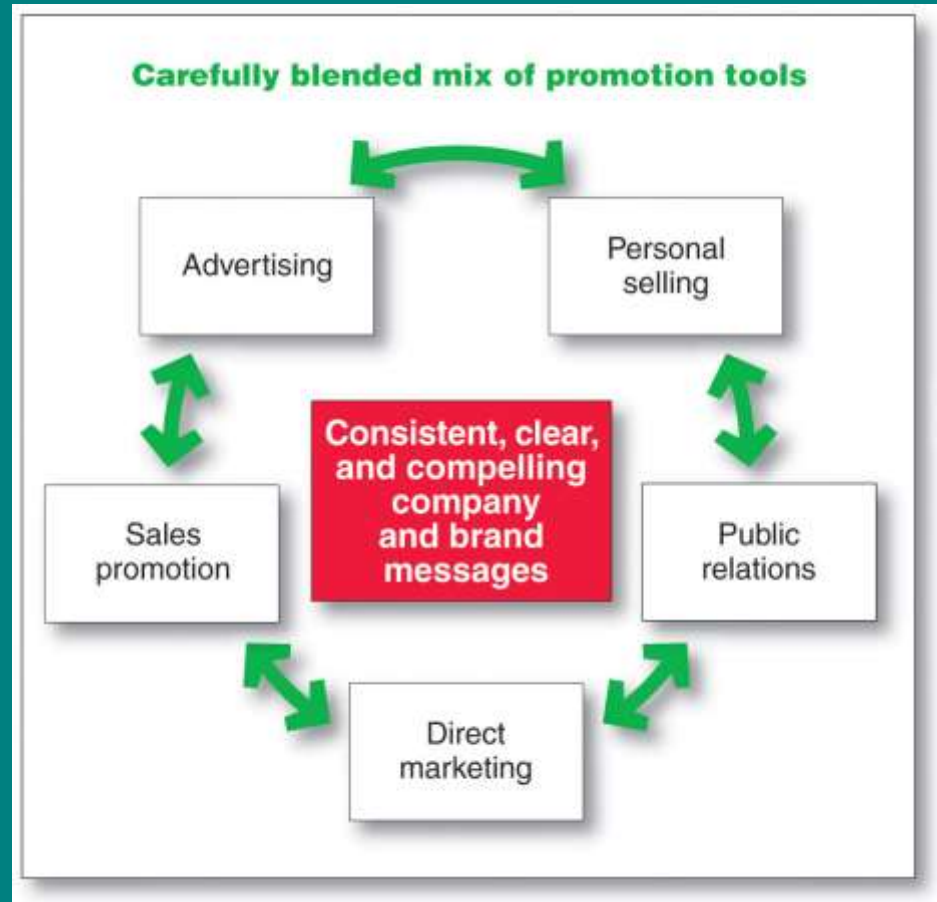
The Need for Integrated Marketing Communications

Integrated marketing communications is the integration by the company of its communication channels to deliver a clear, consistent, and compelling message about the organization and its brands

IMC can be used for large and small promotional budgets:

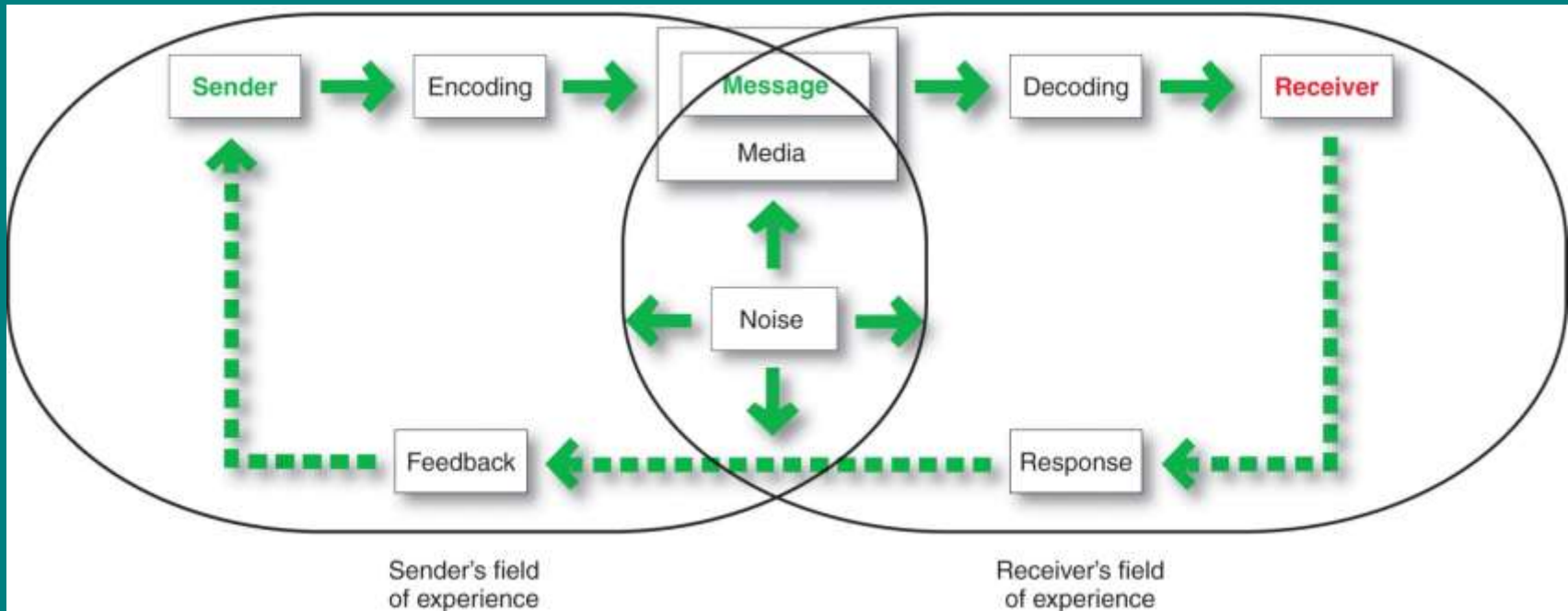
- **Large promotion budgets:** Those with large promotion budgets usually use multiple strategies.
 - E.g. Coca-Cola running a competition (sales promotion) and promoting this competition through magazine and TV advertising (advertising) and supplementing the competition with the use of sales people (personal selling) to encourage retailer support
- **Small promotion budgets:** Small budgets will rely on fewer, simpler strategies.
 - E.g. Local Restaurant might sponsor the local sports team, offer discounts on various nights

Integrated Marketing Communications Strategy



A View of the Communication Process

The Communication Process



Source

the sender of a message - **e.g. company**

Encoding

the source deciding what to say & translating it into words or symbols that convey meaning

Message channel

the carrier of the message - **eg TV, radio, salesperson, internet**

Decoding

the receiver translating the words or symbols back into the message

Receiver

the potential customer

Noise

any distraction that reduces the effectiveness of the communication process – **e.g. competitors, children interrupting salesperson, people talking while ads on, etc**

Tutorial



Activity

Video Focus Question - Promotion

Background: In this activity you will reinforce your knowledge of promotion positioning objectives and how it relates to the strategic intent of your communication message.

Task:

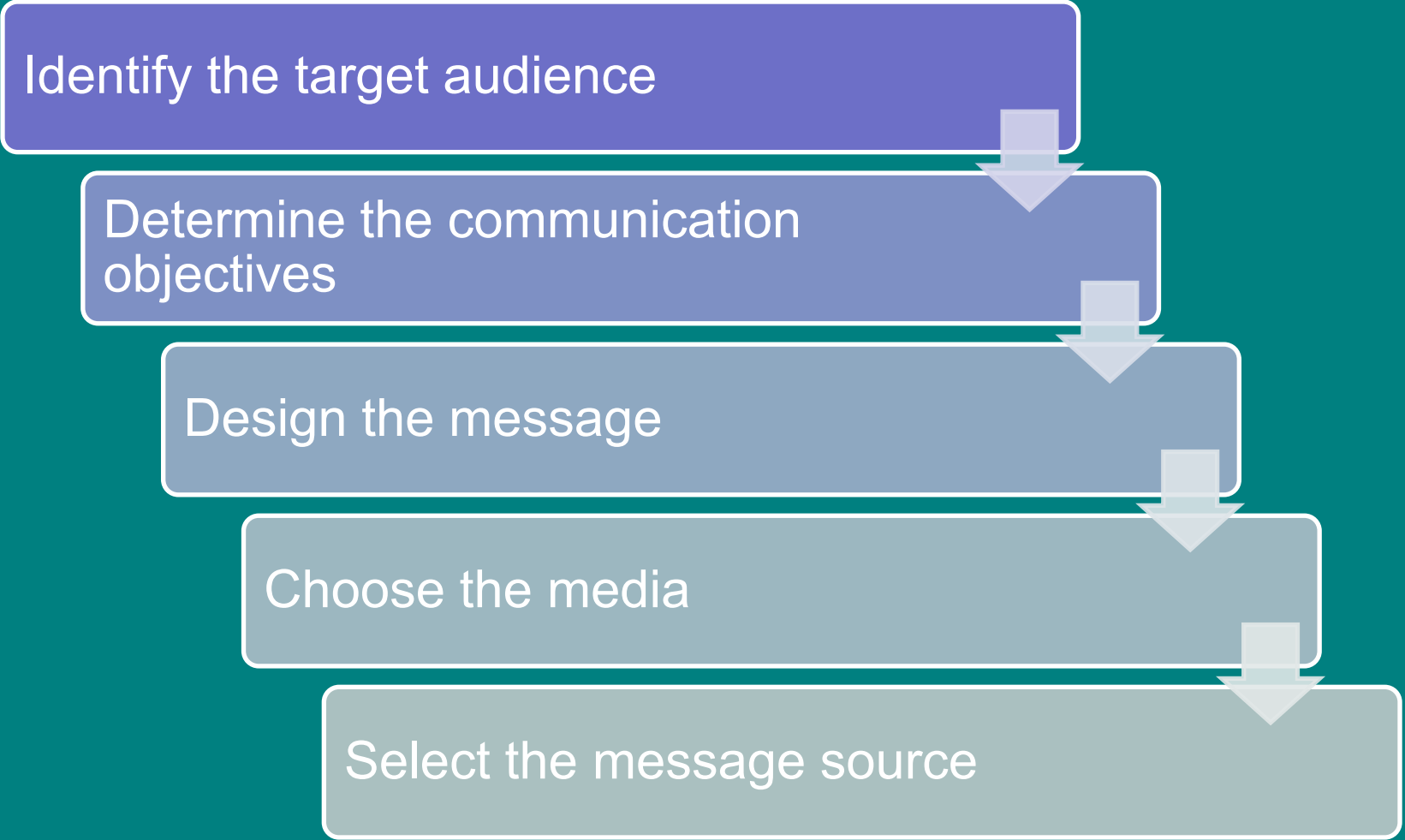
1. What are the positioning objectives listed in the video 'Promotion'? Which one of these is your group assignment prompting you to pursue?

>> Let's discuss your responses.

Duration: 10 minutes

Steps in Developing Effective Marketing Communication

Identify the target audience



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graph TD; A[Identify the target audience] --> B[Determine the communication objectives]; B --> C[Design the message]; C --> D[Choose the media]; D --> E[Select the message source];
```

Determine the communication objectives

Design the message

Choose the media

Select the message source

Steps in Developing Effective Communication

Identifying the Target Audience

What will
be said

How it will
be said

When it
will be said

Where it
will be said

Who will
say it



Steps in Developing Effective Marketing Communication

Determining the Communication Objectives

- Marketers seek a purchase response that results from a consumer decision-making process that includes the stages of buyer readiness

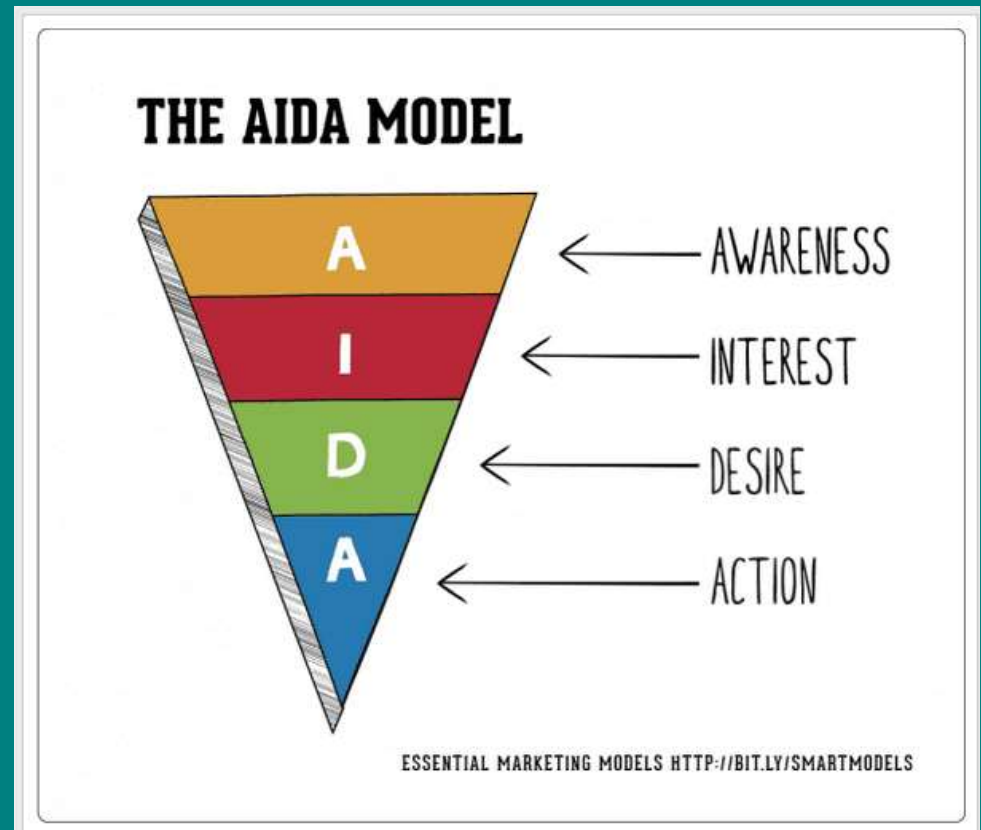


Steps in Developing Effective Marketing Communication

Designing a Message

AIDA Model

- Get **A**ttention
- Hold **I**nterest
- Arouse **D**esire
- Obtain **A**ction



What does AIDA Stand for?

- **Awareness / Attention:** prompting attention to your brand / product, and / or creating brand awareness or affiliation with your product.
- **Interest:** generating interest in the benefits of your product or service, and sufficient interest to encourage the buyer to start to research further.
- **Desire:** for your product or service through an 'emotional connection', showing your brand personality. Move the consumer from 'liking' it to 'wanting it'.
- **Action:** move the buyer to interact with your company and taking the next step ie. downloading a brochure, making the phone call, joining your newsletter, or engaging in live chat, etc.

Tutorial

Activity

Working on your assignment - Promotional Strategies

Below are instructions to the activity.

Background: In this activity you and your group members will work on creating a draft plan of the AIDA model relating to your Kickstarter product.

Task: Work with your group and collaboratively complete the below tasks;

1. Provide an example of how you would use advertising to promote your product
2. Provide an example of how you would use public relations to promote your product
3. Provide an example of how you would use sales promotions to promote your product
4. Provide an example of how you would use personal selling to promote your product

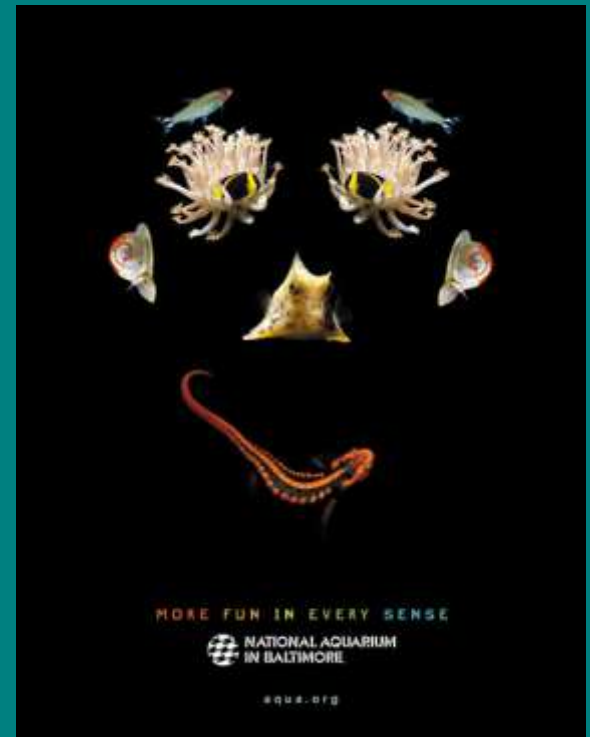
Tip: Use visualisations to support your promotional strategies and enhance your presentation's visual appeal

Steps in Developing Effective Marketing Communication

Designing a Message

Message content is
“what to say”

Message format is
“how to say it”



Steps in Developing Effective Marketing Communication

Message Content

Rational appeal relates to the audience's self-interest

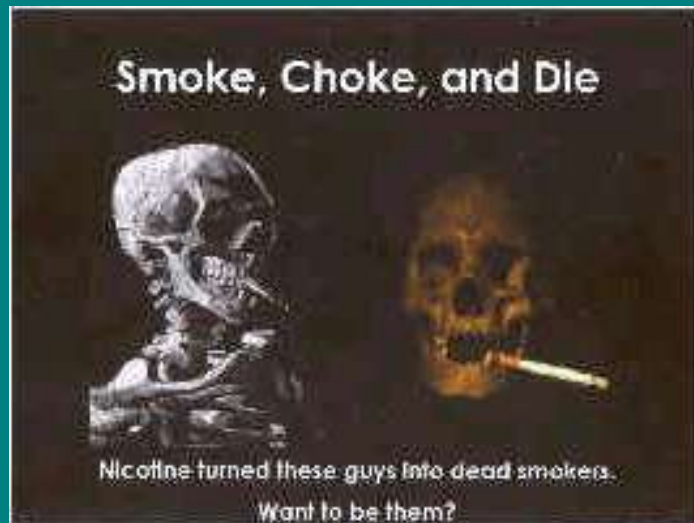
Emotional appeal is an attempt to stir up positive or negative emotions to motivate a purchase

Moral appeal is directed at the audience's sense of right and proper

Taxonomy of Emotional Appeals

Fear appeal

- can be an effective motivator but has the danger of alienating consumers
 - Show the consumer how to avoid the problem.
 - Provide concrete supporting information



Meet Katie, a Pack a Day Smoker at the Age of Four.

Through no fault of her own, Katie will be at a higher risk than her classmates to contract respiratory problems. Her parents are heavy smokers and that makes her a heavy smoker. Even if a cigarette never touches her lips, Katie will have a greater chance of suffering from diseases, such as bronchitis and pneumonia, than children of non-smokers. A report in the medical journal, *Pediatrics*, suggests that children exposed to cigarette smoke may also experience stunted lung growth. If lungs do not grow to full capacity, these children may develop diseases, such as pulmonary failure, later in their lives. As parents, we want the best for our children. We want them to have a head start in the world. Don't set them back before they get started in life. Don't smoke around your children!

This ad is presented as a public service of:

THIS PUBLICATION and 

DEPARTMENT OF ART AND DESIGN
EAST TENNESSEE STATE UNIVERSITY

Design by: Andy Reynolds Photo by: David Richman



Tutorial



Activity

Advertising Appeal - Application

Background: Finding the right appeal to connect with your customers is a challenging process. This activity aims to get you thinking about how you could adjust your marketing message in order to appeal to your customers.

Task: Work with your group and collaboratively complete the below tasks;

1. Your tutor will assign one advertising appeal from the below option for you and your group to apply by creating a short message / advert to communicate and promote your Kickstarter product to your target audience.
 2. Use Canva, or any other design software you choose, to create your advert.
- >> Be prepared to share your answers.

Steps in Developing Effective Marketing Communication

Choosing Media

Personal communication involves two or more people communicating directly with each other

- Face to face
- Phone
- Mail
- E-mail
- Internet chat



Steps in Developing Effective Marketing Communication

Choosing Media

Personal communication is effective because it allows personal addressing and feedback

Control of personal communication

- Company
- Independent experts
- Word of mouth

Steps in Developing Effective Marketing Communication

Choosing Media Personal Communication

Opinion leaders are people within a reference group who, because of their special skills, knowledge, personality, or other characteristics, exerts social influence on others

Buzz marketing involves cultivating opinion leaders and getting them to spread information about a product or service to others in their communities

Steps in Developing Effective Marketing Communication

Non-Personal Communication Channels



Non-personal communication is media that carry messages without personal contact or feedback, including major media, atmospheres, and events that affect the buyer directly

Steps in Developing Effective Marketing Communication

Non-Personal Communication Channels

Major media include print, broadcast, display, and online media

Atmospheres are designed environments that create or reinforce the buyer's leanings toward buying a product

Steps in Developing Effective Marketing Communication

Selecting the Message Source

The message's impact on the target audience is affected by how the audience views the communicator

- Celebrities
 - Athletes
 - Entertainers
- Professionals
 - Health care providers

Advertising

Advertising is any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor

- **Advertising:**

- The transmission of paid messages about an organisation, brand or product to a mass audience.
- Worth over \$12 billion/year in Australia

- **Benefits:**

- Reaches many people at relatively low cost per person
- It is also possible to aim advertising at particular target markets by choosing appropriate media.

- **Limitation:**

- Difficult to measure effectiveness ('Half the money I spend on advertising is wasted; the trouble is I don't know which half')
- limited presentation and personalisation of the marketing message carried by advertising.

Selecting Advertising Media Type

Television

- Easiest way to reach a large number of consumers.
- Most expensive advertising medium.

Newspapers

- Dominate local advertising.
- Relatively short life span.

Radio

- Commuters in cars are a captive audience.
- Satellite radio offers new opportunities.

Magazines

- Consumer publications and trade journals.
- Can customize message for different areas of the country.

Outdoor Advertising

- \$3.2 billion annually
- Requires brief messages.

Online and Interactive Advertising

- *Viral advertising* creates a message that is novel or entertaining enough for consumers to forward it to others, spreading it like a virus.
- Many consumers resent the intrusion of *pop-up ads* that suddenly appear on their computer screen.

Point of Purchase Advertising

- External store signs
- In-store shelf signs
- Shopping cart ads
- In-store Radio and TV

Other Media Options

- Marketers look for novel ways to reach customers: infomercials, ATM receipts, directory advertising.

Public Relations

Public relations involves building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events

Public relations is used to promote product, people, ideas, and activities

Public Relations

Press relations or press agency involves the creation and placing of newsworthy information to attract attention to a person, product, or service

Product publicity involves publicizing specific products

Public affairs involves building and maintaining national or local community relations

Public Relations

The Role and Impact of Public Relations

- Lower cost than advertising
- Stronger impact on public awareness than advertising
- Has power to engage consumers and make them part of the brand story

- **Public relations**

- Communications aimed at creating and maintaining relationships between the marketing organisation and its stakeholders. (Stakeholders include customers, suppliers, owners, employees, media, financial institutions and those in the immediate and wider environment.)

- Effective PR messages are timely, engaging, accurate and in the public interest.

- E.g. Apple iPad launch used no advertising, just public relations
– sold 300,000 iPads on first day

- **Benefits:**

- Credibility, resulting word-of-mouth, low- or no-cost, effectively combat negative perceptions or events.

- **Limitations:**

- many efforts are seen by the news media as attempts to obtain free advertising and are thus rejected.

Setting the Total Promotion Budget and Mix

Shaping the Overall Promotion Mix The Nature of Each Promotion Tool

Personal selling is the most effective method at certain stages of the buying process, particularly in building buyers' preferences, convictions, actions, and developing customer relationships

- However, it is most costly tool



Setting the Total Promotion Budget and Mix

Shaping the Overall Promotion Mix The Nature of Each Promotion Tool

Sales promotion includes coupons, contests, cents-off deals, and premiums that attract consumer attention and offer strong incentives to purchase, and can be used to dramatize product offers and to boost sagging sales

- Not as effective at building relationships and brand preference



- Sales promotion

- Offers of extra value to resellers, salespeople and consumers in a bid to increase sales.

- **Benefits:**

- smooth out sales in periods of low demand and to facilitate retailer support
- Rewards the sale of company's products

- **Limitations**

- Can lose effectiveness if overused
- easily copied
- public becoming increasingly cynical about whether they offer real value.

Sales Promotion

Rapid Growth of Sales Promotions

- Product managers are under pressure to increase current sales
- Companies face more competition
- Competing brands offer less differentiation
- Advertising efficiency has declined due to rising costs, clutter, and legal constraints
- Consumers have become more deal-oriented

Sales Promotion

Major Sales Promotion Tools

Samples	Coupons	Cash refunds
Price packs	Premiums	Advertising specialties
Patronage rewards	Point-of-purchase displays	Demonstrations
Contests	Sweepstakes	Games

- **Coupons**
 - Vouchers that offer consumers a discount price on a product or service
 - E.g. Cheaper pizzas
- **Contests**
 - Effective in promoting product benefits and allow organisations to build a database of members of their target market.
 - E.g. 'Tell us in 25 words or less why you would like to win'
- **Discounts**
 - A certain amount off the regular price.
 - E.g. fuel discounts on presentation of a docket



- **Rebates**
 - Return of some of purchase price upon presentation of proof of purchase.
 - E.g. Computers, rain water tanks, private health insurance



- **Point of purchase promotions**
 - Includes in-store signage and display, and free product trials or demonstrations in stores
- **Event sponsorships**
 - Exclusive merchandise deal, where sponsor has sole right to sell products at venue



- **Trade sales promotions**
 - Present products to business customers and stimulate the products' movement through the marketing channel. Examples include:
 - Conventions and trade shows (business promotion)
 - Sales contests for marketing intermediaries
 - Gifts and premium money
 - Trade allowances
 - Cooperative advertising
 - Dealer listings – manufacturer promotes retailers carrying their products

Personal Selling

Personal Selling

Personal selling is the interpersonal part of the promotion mix and can include:

- Face-to-face communication
- Telephone communication
- Video or Web conferencing

- **Personal selling**

- Personal communication efforts that seek to persuade consumers to buy products.

- Expensive, high-involvement or industrial products favour personal selling

- **Benefits:**

- Can be specifically tailored to individuals, so has greater influence than advertising, sales promotions and PR strategies.

- **Limitations:**

- Expensive,
 - limited reach
 - labour intensive
 - time-consuming



Setting the Total Promotion Budget and Mix

Shaping the Overall Promotion Mix The Nature of Each Promotion Tool

Public relations is a very believable form of promotion that includes news stories, features, sponsorships, and events

Direct marketing is a non-public, immediate, customized, and interactive promotional tool that includes direct mail, catalogs, telemarketing, and online marketing

The New Direct Marketing Model

Direct marketing

- A marketing channel without intermediaries
- An element of the promotion mix
- Fastest-growing form of marketing



Forms of Direct Marketing

Personal selling direct marketing

Direct-mail direct marketing

Catalog direct marketing

Telephone marketing

Direct-response television marketing

Kiosk marketing

Digital direct marketing

Online marketing

Digital Marketing

- digital marketing is communicating value to your customers using digital tools , such as e-commerce, digital products, banner and pop-up ads, viral marketing and search engine optimisation.

Tutorial

Activity

Reflective Question - Digital Marketing

Background: This activity aims to get us thinking about how and where products are placed to reach consumers. Together, we will discuss its effectiveness and what it could have represented in your perspectives.

Task: Think of a product that you have encountered browsing through an online platform (this could be intentional as you sought to buy something or targeted by marketers). What online platform was this, and did you buy the product?

1. If you did buy, what were the influencing factors that led to your commitment to purchase?
2. If you did not buy, what were the missing factors that led you to reject the purchase.
3. Let's discuss your responses.

Duration: 15 minutes

Resources: E-device to access your Canvas course and take notes! 

Shaping the Overall Promotion Mix

Promotion Mix Strategies

